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ENCAP INVESTMENTS L.P.
Memorandum

To: EnCap Investment Staff
From: Kyle Kafka, Bryan Stahl, Michael Guenther, and Blake Provost
Date: January 24, 2024
Re: **Paloma Permian Holdings, LLC – Proposed \$190 Million Fund XII Commitment**

The purpose of this memo is to provide updates on Paloma Partners IV, LLC (“Paloma IV”) and Paloma Natural Gas Holdings, LLC (“PNG”) and to seek approval for a new **\$200 million total equity commitment (\$190 million Fund XII and \$10 million Management) to Paloma Permian Holdings, LLC** (“Paloma VII” or the “Company”). Paloma VII plans to pursue a lease aggregation and development strategy in Eddy and Lea Counties, New Mexico. This new entity will mark EnCap’s eighth partnership with Management dating back to 1998. Please reference Exhibit A for the Paloma track record.

Executive Summary

- On December 28, 2023, **Paloma IV** (Fund IX) closed its \$815 million all-cash sale to Mach Natural Resources (NYSE: MNR). Overall, Management led an impressive turnaround of a challenged investment through the combination of (i) adding significant core inventory through trades, farm-ins, and leasing and (ii) optimized and focused development that generated an average 2.2x DROI over 60 gross operated wells from January 2021 to exit (actual costs and \$70/\$3.50 flat pricing). While the investment did not meet target returns, we believe Paloma IV was able to maximize value for Fund IX, which included invested capital related to Travis Peak Resources and Excalibur Resources. See Exhibit B for returns information and reference the memo circulated at the transaction’s signing for additional background on Paloma IV and the sale.
- PNG** (Fund XI) was formed in December 2021 concurrent with the take-private transaction of Goodrich Petroleum Corporation (“GDP”), an undercapitalized Haynesville operator. PNG was capitalized with a \$550 million common equity commitment (\$539 million from Fund XI and \$11 million from Management), of which \$515 million has been funded to date. Currently, the company has \$245 million of bank debt (\$760 million total capitalization). PNG is substantially covered by hard value at current strip (\$734 million) and well hedged for 2024 (~81% of PDP; \$3.59 average floor), helping de-risk Fund XI’s investment. In light of depressed gas prices, we do not expect to spend new development capital until conditions improve. Of note, the team has excelled on the business development side with the addition of 67 core, long lateral locations since closing the GDP transaction (at ~\$1 million per location) with line-of-sight to adding at least ~30 incremental locations this year through the team’s ground game efforts. PNG’s successful inventory expansion provides a strong runway for value creation in a better market, and the company has a highly capable operations team to execute. We believe PNG is well situated to thrive in a healthy gas market as Gulf Coast LNG demand ramps up, where PNG will be one of a small group of remaining private companies in the Haynesville with relevant scale and a depth of core inventory to attract a potential buyer.
- Paloma VII**, headquartered in Houston, TX, is led by Chris O’Sullivan (President), Mark Gabrisch (EVP, Land/Legal), Bobby Poirrier (EVP, CFO), Will Derrick (EVP, Business Development), and Andrew Keck (SVP, Land & GC). Paloma VII will seek to leverage its proven land and business development capabilities to aggregate a leasehold position in Eddy and Lea Counties, New Mexico through a combination of leasing, farm-ins, trades, and acquisitions. These capabilities were instrumental in the value creation stories of prior Paloma entities in the Barnett, Eagle Ford, Utica, Mid-Continent, and Haynesville. Similar to Paloma VII’s entry into the Delaware Basin, each of these prior plays were areas where the team did not have previous track records of building companies or deploying its ground game.
- Management has been exploring various opportunities and undergoing technical studies in Eddy and Lea, Counties over the past year and believes there is a target rich environment with significant running room despite heightened industry focus in the area. The Company will be opportunistic across various proven play concepts, and we believe its opportunity set will be largely unique from other EnCap teams focused in New Mexico. Nonetheless, we expect that Paloma VII will face a high degree of industry competition, but we have confidence in the team’s ability to be commercial and work creative transactions to generate proprietary opportunities. Based on EnCap’s long-standing partnership with Management and our confidence in the team’s ability to execute this strategy, **we recommend capitalizing Paloma VII with a \$200 million equity commitment (\$190 million Fund XII and \$10 million Management).**

PNG Update

At inception, concurrent with closing the GDP transaction in December 2021, the company had a total capitalization of \$530 million (\$430 million equity and \$100 million bank debt) and approximately \$300 million of hard value at the then-current strip (180 MMcf/d net; 97% gas). Management underwrote 60 total net locations, including 36 net long lateral locations that carried the bulk of the ascribed upside value. Immediately after closing, PNG embarked on efficient pad development. The company inherited one rig at closing and picked up two additional rigs in Q1 2022 with spot prices averaging ~\$4.50/mcf for the quarter. At its peak in 2H 2022, PNG was running five rigs and two completion crews, and an additional \$85 million in equity was invested in Q3 2022 to support development. For reference, spot prices for FY 2022 averaged ~\$6.50/mcf. As PNG ramped up activity, the Board prioritized hedging and operational flexibility (avoiding material midstream, services, or land obligations). When gas prices deteriorated in early 2023 (~\$2.65/mcf average spot for Q1 2023), PNG quickly halted all development activity and harvested proceeds from cash flow insulated by a strong hedge book. In Q4 2023, the company re-started development and commenced drilling seven ~2.5-mile laterals expected to be completed in mid-2024 in a more favorable gas strip. PNG is currently finishing the drilling operations on the last two wells of this package but has deferred completions indefinitely. Currently, we do not anticipate spending any new development capital in 2024 (unless the forward strip materially improves), and the company remains well hedged with ~81% of 2024 PDP covered at an average \$3.59/mcf floor. Current net production is ~325 MMcf/d.

Since inception, PNG has drilled 45 wells and completed 28 wells, and the company has 17 remaining DUCs. Average well performance has been largely in-line with initial underwriting expectations (~1.9 Bcf/1k' average). The company has exhausted essentially all starting high value inventory from GDP through development, but as discussed, Management's ground game has significantly expanded the asset base to provide runway for future value creation. Currently, PNG has 58 core long lateral locations (in addition to its 17 DUCs) and expects to add at least ~30 incremental locations this year. Please reference [Exhibit C](#) for a PNG inventory reconciliation and [Exhibit D](#) for a current asset map. The single well summary below is representative of PNG's average long lateral inventory. In our view, core Haynesville requires \$3.50/mcf gas to justify development at current service costs with substantial torque at higher gas prices (on relatively high capital intensity given the TVD of the play).

PNG Single Well Economics														
EUR	LL	Capex	Capex	DROI					IRR					
(Bcf/1,000')	(ft)	(\$MM)	(\$/ft)	\$ 2.50	\$ 3.00	\$ 3.50	\$ 4.00	\$ 4.50	\$ 2.50	\$ 3.00	\$ 3.50	\$ 4.00	\$ 4.50	
1.8	10,000	\$ 14.0	\$ 1,400	0.85x	1.14x	1.42x	1.71x	1.99x	5%	15%	27%	42%	58%	
1.9	10,000	14.0	1,400	0.91x	1.21x	1.50x	1.80x	2.10x	7%	18%	31%	47%	65%	
2.0	10,000	14.0	1,400	0.96x	1.27x	1.59x	1.90x	2.22x	8%	21%	35%	53%	73%	

Note: Assumes 100% WI/75% NRI. Economics at current strip pricing roughly equate to those at \$3.50 flat.

In closing, PNG is substantially covered by hard value at current strip (\$734 million hard value versus \$760 million in total capitalization). We believe the success of PNG's inventory expansion program has and will continue to add meaningful value to the company's longer term prospects in an improved gas market. Even though no new capital spend is planned for this year, the team will be opportunistic in resuming capital development when economics justify activity and has a highly capable operations team to execute. We believe PNG will be one of a small group of remaining private companies in the Haynesville with relevant scale and a depth of core inventory to attract a potential buyer, and we believe this investment has significant potential to thrive longer term for Fund XI.

PNG - Current Hard Value Snapshot			
	Committed	Invested	% of Total
Fund XI	\$ 539,000	\$ 504,700	98.0%
Management	11,000	10,300	2.0%
Total Equity	\$ 550,000	\$ 515,000	100.0%
RBL Debt	390,000	245,000	
Total Capitalization	\$ 940,000	\$ 760,000	
PDP PV-10		\$ 447,403	
DUC/WIP PV-15		231,362	
Hedge PV-0		55,235	
Total Hard Value		\$ 734,000	

Note: Hard Value run at 1/12/2024 strip (\$2.96 | \$3.65 | \$3.87 | \$3.86 | \$3.82)

Exhibit A: Paloma Track Record

Realized Investments							
Company	Focus	EnCap Fund	Initial Investment	Investment (\$MM) ⁽¹⁾	Proceeds (\$MM) ⁽¹⁾	ROI	IRR
San Juan Partners	San Juan	III	Jan-98	\$15.6	\$27.7	1.8x	67%
Paloma Barnett	Barnett	VI	Feb-07	69.4	146.7	2.1x	198%
Paloma II	Eagle Ford	VII	Nov-09	124.0	422.7	3.4x	81%
Paloma III	Utica	VIII/IX	Oct-12	102.4	215.2	2.1x	46%
Paloma IV	Mid-Con	IX	May-14	470.6	598.6	1.3x	4%
Paloma Solar and Wind	Renewable Royalties	XI	May-20	41.9	45.5	1.1x	13%

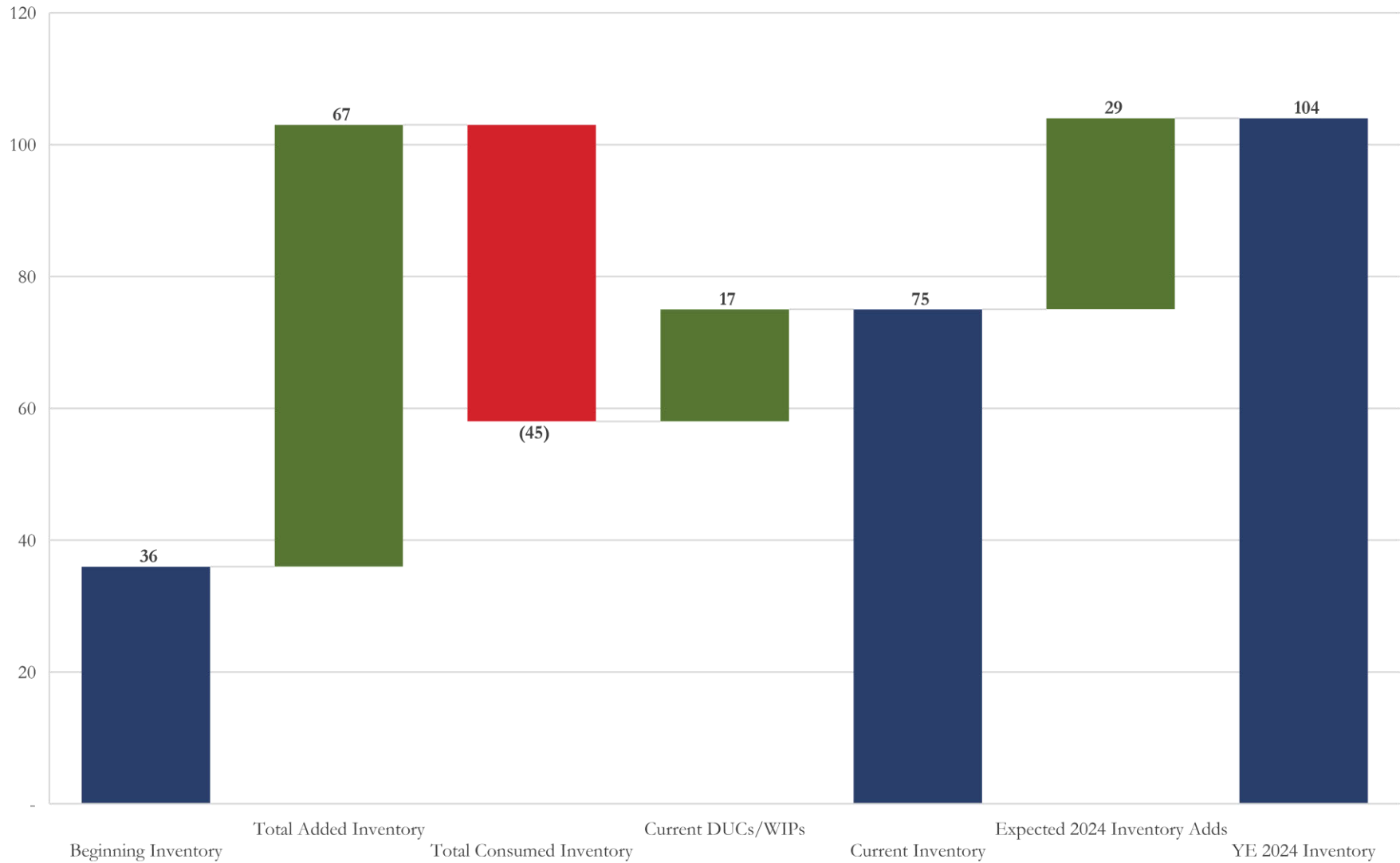
1. Net to EnCap.

Exhibit B: Paloma IV Returns

Paloma IV - Proceeds & Returns		
Asset Purchase Price	\$	815
Less: Debt (at Close)		(121)
Less: Interim Period Adjustments		(66)
Less: Holdbacks		(15)
Less: Other Adjustments		(15)
Equity Proceeds at Closing	\$	598
<i>Closing Date</i>		<i>12/28/2023</i>
Fund IX Distributions to Date	\$	90
Fund IX Closing Distribution		482
Fund IX Post-Closing Distributions		15
Fund IX Holdback Distributions		11
Total Fund IX Proceeds	\$	599
<u>Returns Summary - Total Deal</u> ⁽¹⁾		
Fund IX ROI		1.27x
Fund IX IRR		4.0%

1. Returns reflect the Fund IX investment table and are based on \$471MM total invested equity, which includes \$107MM deemed equity contribution for Travis Peak Resources' upstream assets in 2019.

Exhibit C: PNG Operated Inventory Bridge



Note: Inventory identified as > 7,500' LL, > 55% WI, > 1.6 DROI at \$3.50/Mcf flat pricing.

Exhibit D: PNG Asset Map

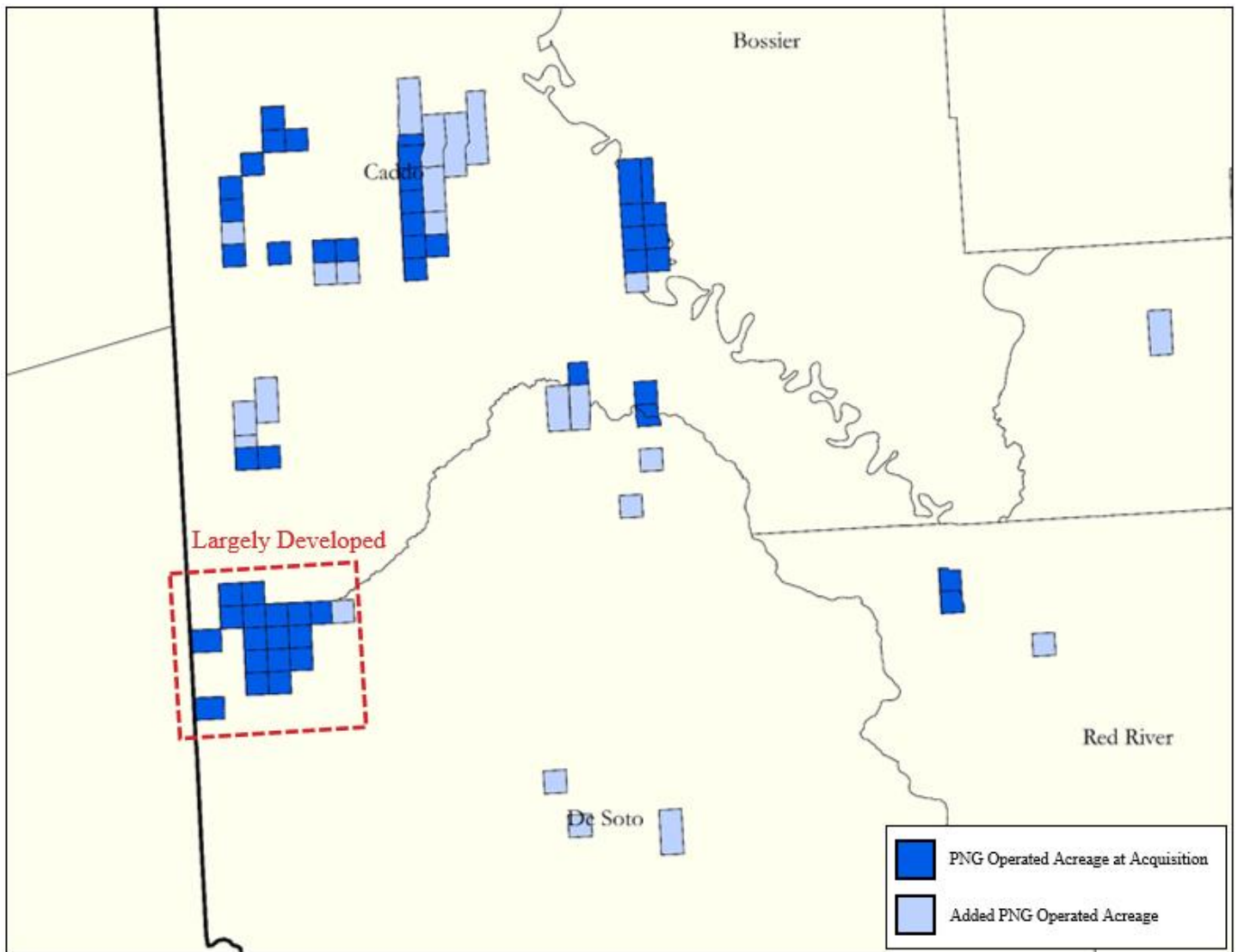


Exhibit E: Paloma VII Focus Area

